

Berkeley's budget challenge is real — and two governance fixes would address most of it.

Not everything is a cut or a tax. The City Auditor has already mapped the way, and is our strongest ally on both.

Berkeley faces a roughly \$30-million-a-year General Fund gap. Part of it is genuine: over the last decade, expenses grew about 8% a year against 6.5% revenue growth. No process change erases that entirely — and saying so plainly is what makes the rest credible.

What's real: structural cost growth exists. **What's fixable:** the gap between what the City adopts and what it actually spends, and the discipline to fund results. Those two are governance choices.

~\$30M/yr

General Fund structural gap

\$16.5M

padding removed by re-baselining

76 / 384

audit fixes dropped

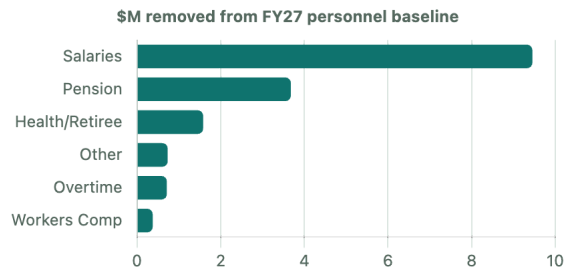
8% vs 6.5%

expense vs revenue growth (real cost pressure)

PROBLEM 1

Transparency & honesty in budgeting

The adopted budget is a poor guide to what the City actually spends. This year's re-basing to real expenditures removed **\$16.5M from the personnel budget alone** — proof that prior budgets carried padding that didn't reflect need. Year-end carryovers and mid-year amendments widen the gap between what Council adopts and what is spent.



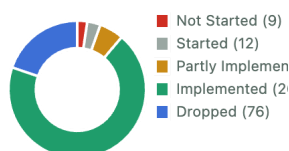
The fix: budget to actuals, let operating appropriations lapse, separate capital from operating, discipline mid-year amendments, and publish a standing **adopted-versus-actual** reconciliation.

PROBLEM 2

Accountability to results

The most common finding across 54 audits is that programs lack measurable goals and outcome tracking — from zero waste to code enforcement to homeless services. Of 384 recommendations, **76 were dropped** (many by simply lapsing after five years) and 43 remain open, concentrated in the highest-spending departments.

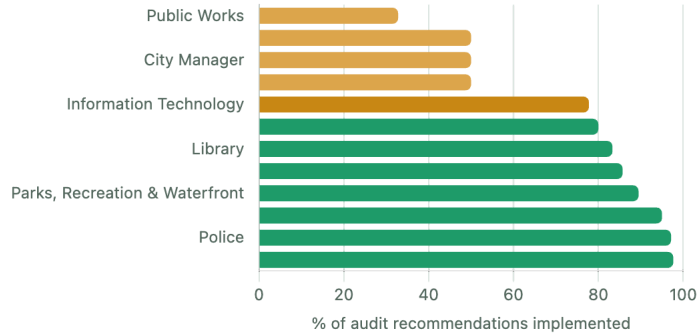
384 recommendations



The fix: tie budgeting to performance — every program states a goal and a measure, and dropping an audit recommendation requires an explicit Council decision with a cost-benefit, not a silent five-year expiration.

Where the gap really sits

The departments with the most dollars have the weakest record of acting on the Auditor's findings. That's not an indictment — it's the clearest place a results-based process would help.



The Auditor is the ally, not the adversary

This is precisely the work the Auditor's office exists to do. Its FY2027 plan commits to:

"ensuring City dollars are spent responsibly and aligned with Berkeley values."

Council should treat the audit record as the backbone of the budget process — not a separate report filed and forgotten. Honesty about the money and accountability for results won't close the entire gap, but they would end the annual ritual of one-time fixes and rebuild public trust in the numbers. The Auditor has already done the diagnostic work; the budget process simply needs to use it.

[See the sharper, public-facing version →](#)

Sources: Proposed FY2027–FY2028 Biennial Budget (Item 21, Supp 2, 2026-05-19); Berkeley City Auditor's Recommendation Dashboard (snapshot 2026-04-24); FY2027 Audit Plan + Whistleblower Annual Report (2026-06-10). Same facts as the public-facing edition, presented for a working coalition.